QNN RESEARCH · INJECTIVE

The Leaky Bucket

Why burns don't save INJ — and what might

Injective explained simply: the on-chain orderbook, tokenomics, burns, competitors, the ETF — and the main question: demand. 30 slides.

INJ

RESEARCH #05

INSIDE

The INJC ETF on Nasdaq, the real 122.9M INJ supply, issuance math, competitors, valuation and risks

DATA AS OF OCT 26, 2026 · UPDATED NOV 9, 2026 · NOT FINANCIAL ADVICE

Key points in a minute

PRICE · NOV 9

$8.10

Market cap $810M on the 100M INJ aggregators use — or ~$1.0B on the real supply

SUPPLY

122.9M

INJ on-chain, not 100M: staking issuance outpaces burns

NEW

ETF INJC

First spot INJ ETF — Nasdaq, Nov 5, 2026, $16M in the first days

MAIN QUESTION

$12.9M

Network TVL — 1.6% of market cap. The problem is demand

FROM ATH

−85%

Peak $52.62 in March 2024; low $2.75 in April 2026

What could lift the price, and what could sink it

▲ Up

- The INJC ETF is live; two more filings (21Shares, REX-Osprey) await decisions
- SEC transfer agent registered (August 2026), CFTC-regulated futures on Bitnomial
- 135 RWA markets, RWA perps at ~$215M a month
- The monthly buyback & burn grows with ecosystem revenue
- Native EVM (November 2025) — the ecosystem grows from a low base

▼ Down

- Issuance of ~5.4M INJ/yr against ~0.35M burned: supply grows ~4% a year
- Weak DeFi demand: TVL $12.9M, perp open interest just $2.3M
- Hyperliquid owns on-chain perps: ~130× more volume
- Valued at ~250–320× annual revenue — expensive versus peers
- −85% from ATH: many holders "under water" sell into rallies

The team: who builds Injective



Eric Chen

CEO · CO-FOUNDER

@ericinjective

Co-founded Injective Labs in 2018; finance background, built the system from scratch



Albert Chon

CTO · CO-FOUNDER

@albertchon

Stanford; ex-Amazon and Oracle engineer, network architecture



Mirza Uddin

COO

@mirza

Operations and partnerships; ex-investment banker, partner at Vessel Capital



Noah Axler

GENERAL COUNSEL

@noahaxler

Legal: the regulated track, SEC transfer agent, RWA standards

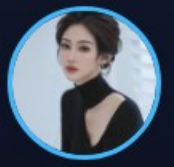


Xinran Xu

APAC DIRECTOR

LinkedIn

Asia-Pacific: KRW1, Korean partnerships, institutions



Vivian Ma

VP MARKETING

LinkedIn

Brand and growth: campaigns, listings, community

Photos: the team's public avatars (X, LinkedIn) · injectivelabs.org/team. Incubated by Binance Labs. Injective Ecosystem Group fund ($150M, 2023): Pantera, Jump Crypto, Kraken Ventures, KuCoin Ventures, Delphi Labs.

How the network works

1. **Cosmos stack**
   Fast finality, low fees, its own validator ecosystem

2. **On-chain orderbook**
   Spot and derivatives are built into the protocol layer — CEX-style trading on-chain; every app shares one pool of liquidity

3. **Wasm + EVM**
   November 2025: two virtual machines with unified liquidity

4. **iAgent**
   An SDK for on-chain AI agents: agents are built in natural language

Timeline: from launch to the ETF

OCT 2020
TGE
100M INJ, the network is 6 years old

JAN 2023
$150M fund
Pantera, Jump Crypto, Kraken Ventures and others

MAR 2025
Google Cloud
Validator + dev infrastructure + AI hackathon

NOV 2025
Native EVM
The main upgrade: EVM + Wasm, unified liquidity

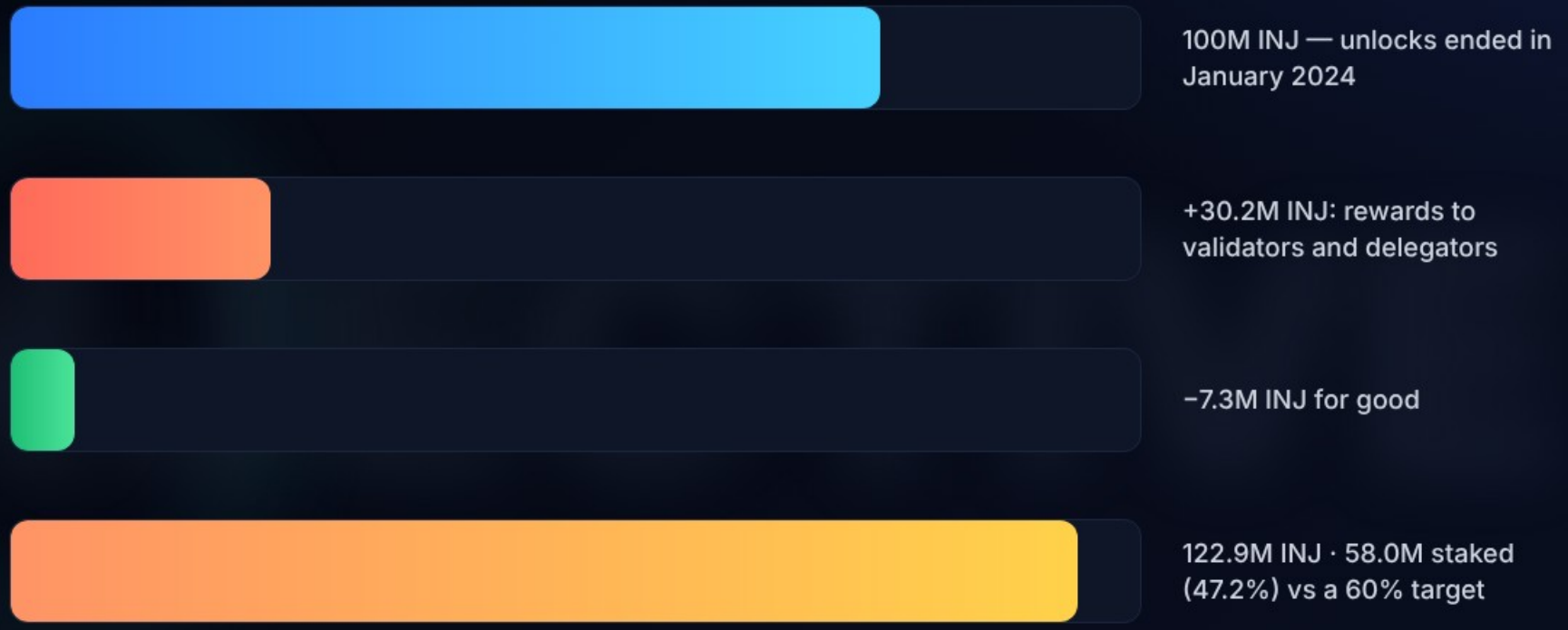
JAN 2026
Supply Squeeze
IIP-617: issuance cut, monthly buybacks

JUL 2026
Robinhood + MiCA
US listing, an EU whitepaper

AUG–SEP 2026
SEC + Meridian
Transfer agent registered; RWA standards

NOV 5, 2026
INJC ETF
The first spot INJ ETF — Nasdaq

Tokenomics: where 122.9M INJ come from

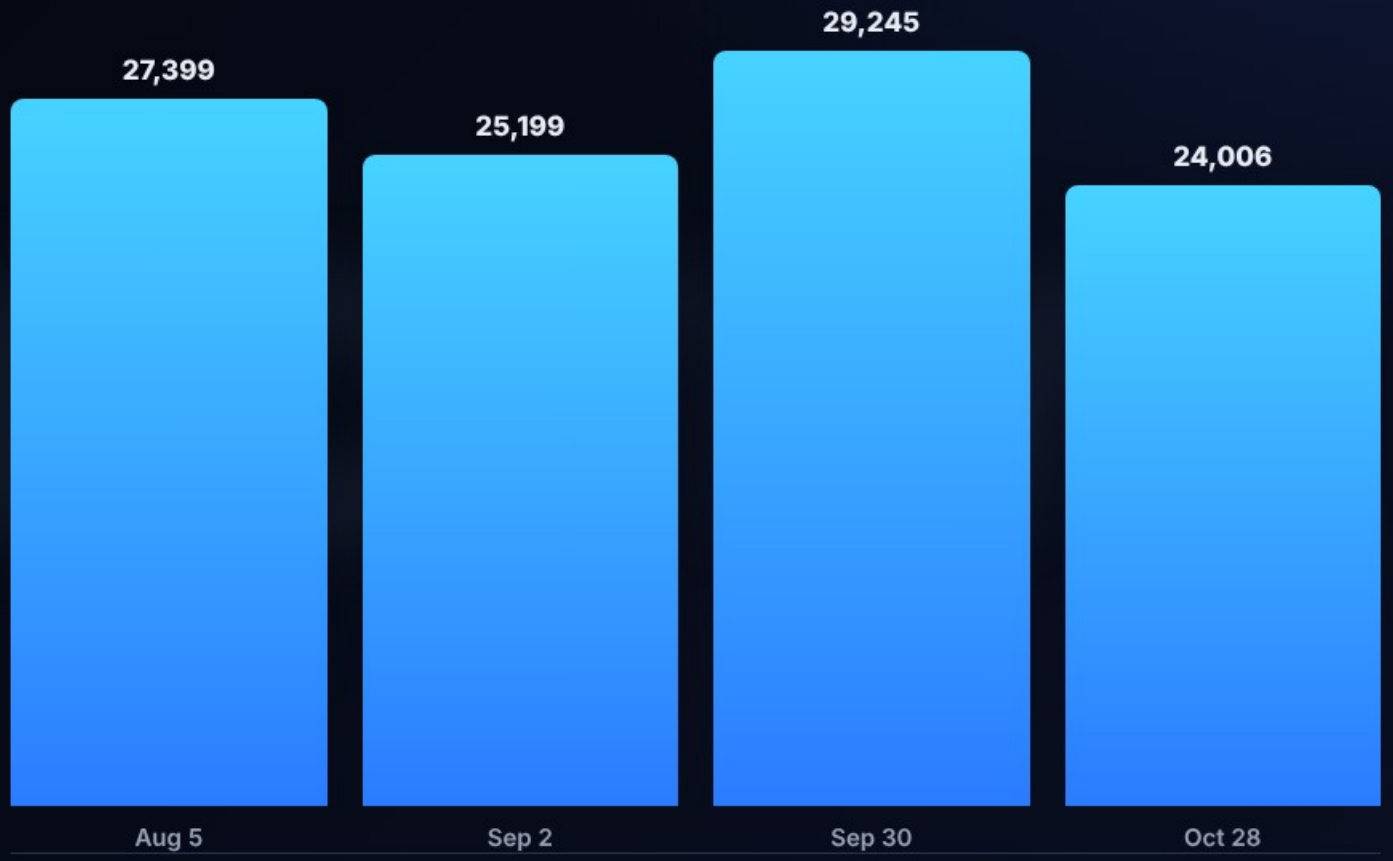


100 + 30.2 − 7.3 = 122.9M. CoinGecko and CoinMarketCap still show "100M, all circulating" — that is the TGE base, not the current supply. [CALCULATION]

All-time burns: 7.3M INJ

7,295,039 INJ

Of that, 6.78M came from the weekly burn auction (2021 — October 2025), the rest from the monthly Community BuyBack since November 2025. SmartStake tracker, entry of Oct 28, 2026.



The BuyBack record is 43,500 INJ (July 2026); the largest basket was $315K (June 2026). Bars show the last four rounds.

How INJ is burned now: the Community BuyBack

1

Revenue basket

Once a month the protocol pools revenue from ecosystem apps

2

Commit INJ

Participants commit INJ and get a pro-rata share of the basket

3

The commitment burns

All committed INJ is burned for good — supply shrinks

4

Payout

Participants claim their share of revenue; 2026 rounds averaged +24%

Until November 2025 a weekly burn auction ran: the winner took the whole basket and its bid was burned. The BuyBack replaced the winner-take-all model with a pro-rata one anyone can join. The Supply Squeeze (IIP-617, January 2026) paired the BuyBack with cut issuance.

Supply math [CALCULATION]

Staking issuance
4.4% × 122.9M

+5.4M INJ/yr

≈ 104K INJ a week — inflation sits at the top of its band as staking is below the 60% target

Burns (BuyBack)
24–44K INJ a month

≈ 0.35M INJ/yr — cover ~6.5% of issuance

Net per year
issuance − burns

+5.0M INJ

Supply grows ~4% a year

The Cosmos mint module computes issuance on total supply: annual provisions = inflation × total supply. For burns to catch up with issuance, ecosystem revenue would need to grow about 15×.

What news moved the price

Mar 2024	**$52.62**	Bull-market peak — INJ all-time high
Oct–Dec 2025	**$9.03 → $5.74**	The market fades: −36% in a quarter with no project-specific bad news
Feb–Apr 2026	**→ $2.75**	The yearly low: weak macro, BTC ranging $62–76K
Apr–Jun 2026	**×2.3**	$2.75 → ~$6.4: staking on Binance.US, upgrades, the RWA narrative
Jul 2026	**≈$4.5**	Robinhood listing: a channel opened, the price barely moved
Oct 16, 2026	**+27% in a day**	A spike to $9.13 on speculation; no news trigger
Nov 5–9, 2026	**+12% in a week**	The INJC ETF launch on Nasdaq; $8.10 on Nov 9

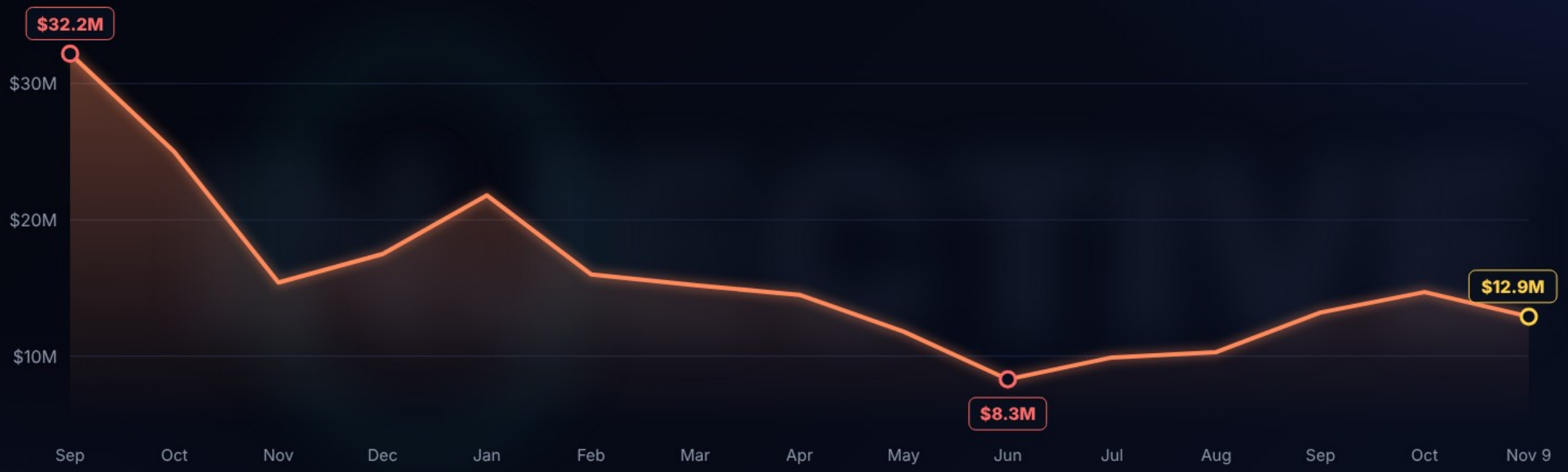
Demand: is anyone using the network?

$12.9M

TVL, DefiLlama · Nov 9, 2026

- 1.6% of market cap — DeFi reserves on the chain are small
- Turnover comes from orderbook trading, not deposits: ~$1.5B of perps in 30 days (next section)
- New channels are just launching: the ETF, KRW1, RWA standards, Robinhood
- Verifiable: TVL and revenue — DefiLlama; burns — SmartStake

TVL over a year: demand halved



Monthly TVL, DefiLlama (September 2025 — November 2026). The native EVM launch in November 2025 has not reversed the trend yet.

Network revenue: the fuel for burns

$210–270K

a month: fees + auctions · ~$2.5–3.4M a year · bars: $K per month



Through the BuyBack this revenue turns into burns: $250K/mo at $8 ≈ 30K INJ — consistent with SmartStake. At this level of revenue, burns are ~15× smaller than issuance.

Trading volumes in the orderbook

PERPS · 30 DAYS

$1.49B

Perpetuals turnover on Injective (Oct 30, 2026); ~$50M a day

OPEN INTEREST

$2.3M

Few open positions: turnover is mostly intraday

RWA PERPS

~$215M

a month; $5.3B since early 2025 — stocks, FX, commodities

TAKEAWAY

There is activity — but it is small

$1.5B a month is dYdX territory. Hyperliquid does ~$200B in the same 30 days: 130× more

SPOT

~$2M

a day on INJ/USDC on Helix — the main spot pair

Holders: exchanges, contracts and stakers

1. **Staking — 58.0M INJ**
   47.2% of supply with validators; a record 58.8M in September 2026. Unstaking takes 21 days

2. **Top-10 addresses**
   ~90% of "circulation" per rich lists — but mostly exchanges, the bridge and staking contracts, not private whales

3. **ERC-20 INJ on Ethereum**
   The top 5 hold 96% — nearly all of it sits in the Injective bridge contract

4. **A new holder — the ETF**
   INJC holds ~2M INJ and stakes ≥90%; community treasury — Trench Treasury (October 2026)

RWA is no longer a promise: 135 markets

135

RWA markets on Injective: stocks, FX, commodities, indices, pre-IPO — almost half of all markets on the chain

$5.3B

RWA perp turnover since early 2025; a record $209.7M in August 2026

XAU · RWA module

Tokenized gold since April 2025; a protocol-level tokenization module since January 2025

Meridian

September 24, 2026: regulated standards for issuing and trading RWA

The market: liquidity and venues

$141M

24-hour volume — 18% of market cap (Oct 26, 2026)

5 venues

Coinbase, Binance, Kraken, Robinhood — and Nasdaq via the INJC ETF

Zero cliffs

No vesting or unlocks ahead — the pressure comes from trading and issuance of ~104K INJ a week

A year of price: a V-shaped recovery



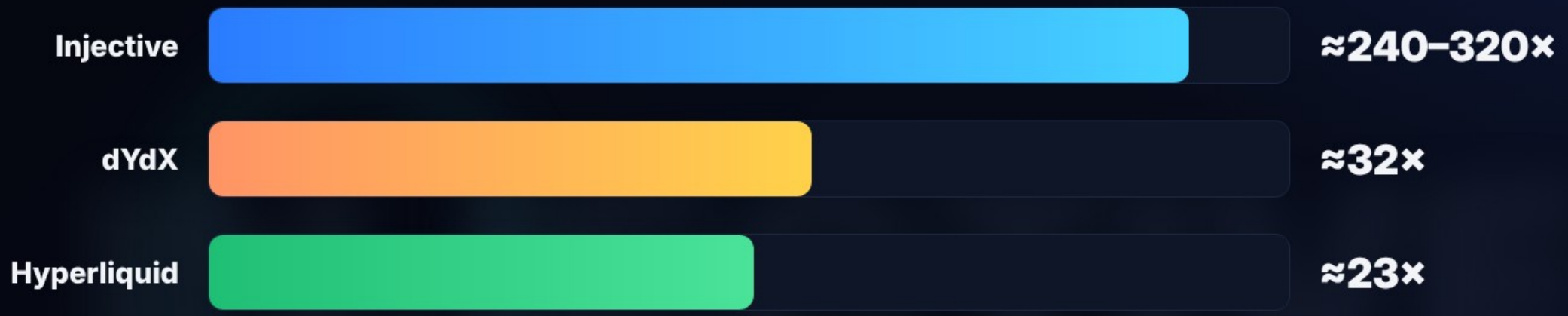
Monthly marks, CoinGecko; the last point is November 9, 2026. ATH $52.62 (March 2024) — the price is still 85% below.

Competitors: on-chain perps

	Injective	Hyperliquid	dYdX
Market cap	**$0.81–1.0B**	$18.4B	~$0.1B
Perps, 30 days	**$1.5B**	~$200B	$1.2–1.3B
Open interest	**$2.3M**	> $7B	~$43M
Revenue, 30 days	**~$0.21M**	$66.8M	~$0.25M
Where revenue goes	**BuyBack → burn**	~99% → HYPE buybacks	to DYDX stakers
Edge	**L1 + RWA + ETF**	70%+ of the perp market	the pioneer, losing share

DefiLlama, late October — early November 2026. Hyperliquid is also launching equity markets (HIP-3) — a direct competitor to Injective's RWA perps.

Valuation: years of revenue in the price [CALC]



Market cap ÷ annual protocol revenue (log scale). Injective: $810M ÷ $2.5–3.4M; on the real supply (~$1.0B) — 290–400×.

Takeaway: the INJ price bakes in the future — the ETF, RWA, institutions — not current revenue. For the multiple to match dYdX, revenue would need to grow ~8–10×.

INJC: the institutional track delivers

NASDAQ · NOV 5, 2026

INJC

Canary Staked INJ ETF — the first spot INJ ETF in the US. Stakes ≥90% of its coins, 1.10% fee, custody — BitGo

FIRST DAYS

$16.1M

in assets ≈ 2M INJ — about 37% of a year's issuance

PENDING

+2 ETF

21Shares Injective ETF and REX-Osprey INJ Staking ETF

REGULATORY GROUNDWORK

SEC · CFTC · MiCA

SEC transfer agent (August 2026), INJ futures on Bitnomial under the CFTC, a MiCA whitepaper for the EU (July 2026)

Project risks

VISIBLE NOW

Issuance exceeds burns
+~5M INJ a year (~4%): holders who do not stake get diluted

Demand is concentrated and small
Open interest $2.3M, TVL $12.9M — against billions at the leader

Supply confusion
Aggregators show 100M instead of 122.9M — market cap understated by ~23%

Validator concentration
50 active; the top 7 control a third of stake; Injective Foundation runs 2 validators (~8.5%)

SHOW UP IN A BAD SCENARIO

ETF outflows
Early altcoin funds often lose assets after launch

Regulation
Stock and RWA perps are a grey zone in many countries; KRW1 depends on Korean rules

Competition
Hyperliquid (HIP-3) and CEXs compete for RWA perps and liquidity

Rich valuation
~250–320× annual revenue: on disappointment the multiple can compress

Myths and facts

"INJ is deflationary"	No: ~5.4M issued a year vs ~0.35M burned — supply grows ~4%
"Supply is fixed at 100M"	100M is the TGE base; there are already 122.9M INJ on-chain
"An ETF means a flood of money"	$16M in the first days: ~37% of a year's issuance, not "billions"
"Google invested in Injective"	No: a validator and infrastructure, no token purchases
"Robinhood = institutions are in"	A listing is an access channel; the institutional product is the ETF, and it has just started

Scenarios [HYPOTHESIS]

BEARISH

$4–5

No ETF inflows, TVL stagnates, ~4% issuance weighs on the price

BASE CASE

$6–9

More of the same: slow ETF inflows, buybacks, current network activity

BULLISH

$12–15

ETF inflows + 21Shares/REX-Osprey approvals, RWA on Meridian, KRW1 turnover, the overall market up

Corridors are tied to the yearly range of $2.75–9.03. $8.10 sits near the top of the base case. These are "if — then", not forecasts.

What forecast sites promise

CoinDataFlow	$8.93 – $57.59 for 2027–2032
DigitalCoinPrice	$9.69 by the end of 2027 (+20% vs now)
CoinCodex	~$8.11 by November 2026 (upper target) — already reached
Consensus	"Stay around today's level"; anything above $10 requires multiple growth

Price at different market caps



Based on the real 122.9M supply: price = market cap ÷ 122.9M. Returning to the ATH = 6.5× growth. "INJ at $100" = "a $12.3B network" — and supply will be larger by then. [CALCULATION]

Eight facts you didn't know

1. TGE was October 21, 2020: the network turned six in October 2026
2. There are 122.9M INJ on-chain, though almost every site says "100M"
3. The first burn was 40,000 INJ; 7.3M burned in total, 6.78M of it by auctions
4. Inflation is tied to the staked share: below 60%, issuance sits at its maximum
5. Meridian passed with ~99% validator support
6. The INJC ETF stakes its INJ — staking yield flows into the share value
7. The Vulcan upgrade cut oracle gas by ~90%
8. EVM and Wasm share one liquidity pool — rare for multi-VM chains

What to watch

INJC ETF flows

Fund assets and decisions on 21Shares and REX-Osprey — the main new catalyst

BuyBack size

INJ burned in the monthly round: growth = ecosystem revenue growth

On-chain supply

The bank module (Mintscan): if the number stops growing, deflation is real

Staked share

Moving toward 60% lowers issuance from 4.4% toward the floor

Volumes and open interest

Perps and RWA perps on DefiLlama — real product demand

KRW1 and Meridian

Won-stablecoin turnover and the first regulated RWA issuances

Bottom line

1. Supply is not deflationary: 122.9M INJ and +~4% a year. Burns work but cover ~6.5% of issuance
2. The problem is demand: TVL $12.9M, open interest $2.3M; by volume Injective is at dYdX scale, not Hyperliquid's
3. The institutional track delivered a product: the INJC ETF on Nasdaq. It is the main chance to offset issuance with new money
4. The valuation is rich (~250–320× annual revenue) — the price already bakes in ETF and RWA success

Not financial advice. Calculations are simplified and based on public data as of Oct 26, 2026; key figures were updated on Nov 9, 2026.